

BroCode: Business Case Study

How a "Wine" Beat the Beer Market at Its Own Game

1. Executive Summary

BroCode is a 330ml, high-strength, beer-styled drink sold across India that has become one of the country's most talked-about alcoholic beverages since its 2018 launch. It is made by IndoBevs (legal entity: Indospirit Beverages Pvt. Ltd.), a Delhi-headquartered alcobev company founded by Sameer ("Sam") Mahandru. The brand's core innovation isn't the liquid — it's the regulatory and cultural positioning: BroCode is legally classified in most Indian states as a **wine/wine-cooler product**, not a beer, even though it looks, is packaged, and is consumed exactly like one. This single classification choice unlocked a materially different tax and licensing path than conventional beer, while the branding, price point, and go-to-market motion were built entirely around beer-drinking occasions and beer-drinking (largely male, 21–35, Gen Z/young millennial) consumers.

Note on sourcing: BroCode is a private company. Public data on it is inconsistent — different sources cite ABV figures ranging from 6% to 15%, and different aggregators quote different revenue numbers. This case study flags such discrepancies explicitly rather than presenting a single unverified figure as fact.

2. The Core Idea: A Four-Part Stack : Gap, Product, Packaging, Tax

The simplest way to understand BroCode's founding insight is as a chain of four deliberate decisions, each building on the last.

2.1 Step one : spot the flavor gap

Young Indian drinkers wanted the buzz of strong booze, but a large share of them don't actually enjoy the bitterness of hopped beer. Founder Sameer Mahandru has publicly argued that Indian consumers historically lean toward sweet-and-sour flavor profiles, and that beer's popularity in India owed more to Western marketing making it feel "cool" than to Indians genuinely preferring its taste. That gap between people *who want a strong drink but don't like beer's bitterness* was the opening.

2.2 Step two : engineer the product to fit the gap

Instead of brewing a stronger beer, BroCode built a **grape-based, fermented drink** technically a wine, not a beer with a high ABV (reported up to 15% in most sources, though some state-specific formulations are described as lower-ABV malt-based variants). This gave drinkers the sweet, fruity, low-bitterness taste of wine, at a strength that could match or exceed strong beer, without the bitter malt/hop profile that was turning off the target audience.

2.3 Step three : package and sell it like a beer, not a wine

Traditional Indian wine comes in 650ml corked bottles, priced as a premium, sit-down, dining/gifting product, a format nobody casually cracks open at a house party or cricket night. BroCode broke that mold: it packaged its grape-based drink in a **330ml bottle with an easy-open cap**, sold chilled off the same liquor-shop shelf as beer, priced for the same casual, take-home-and-crack-it-open occasions beer owns. The product never had to "convince" anyone it was fine to drink like a beer; the format did that silently.

2.4 Step four : let the tax and licensing category follow the product, not the marketing

Because the drink is genuinely grape/fermentation-based, it qualifies in most states for **wine or "wine cooler" excise classification** rather than the beer excise category ; categories that, in several states, carry a different duty structure and licensing pathway than mainstream strong beer, and that historically permitted a higher ABV (10–15%) within a single SKU than conventional beer (typically 4.5–8% ABV) without being treated as a separate hard-liquor category. In effect, the product's *true* composition (wine) gave it a more favorable tax lane, while its *marketing and format* (beer) gave it beer's massive addressable occasion and audience two categories' advantages captured by one product.

2.5 Why this mattered commercially

1. **Higher ABV per rupee:** A regular Indian strong beer (650ml, ~8% ABV) delivers roughly the same alcohol as a much smaller, cheaper 330ml BroCode bottle at up to 15% ABV giving it a "more bang for your buck" reputation that spread organically among cost-conscious young drinkers.
2. **Price accessibility:** Bottles are priced roughly ₹100–₹200 depending on state taxes, undercutting the effective per-unit-alcohol cost of premium beer.
3. **A blue ocean instead of a red one:** Rather than fighting Kingfisher, Bira 91, Budweiser, and Tuborg head-on in the intensely competitive, heavily-taxed beer category, BroCode created what Mahandru has described as filling white space between two categories

consumers already understood with none of the stigma of "day drinking wine" and none of the price/tax burden that pure beer carries in high-duty states.

4. **Taste-led loyalty, not just price-led trial:** Because the underlying product genuinely solved the flavor-gap problem (sweet, not bitter, still strong), repeat consumption wasn't purely a function of price; it reflected an actual preference match that mainstream beer wasn't serving.

2.6 Important caveat

This positioning has not been free of scrutiny. Several consumer and health-commentary sources describe BroCode as functioning in a genuine **gray zone** technically compliant with wine/wine-cooler excise definitions in the states where it is sold, but marketed, packaged, and consumed identically to strong beer. Some commentators and competitors have raised concerns that:

- the higher ABV (up to 15%) delivers intoxication levels well above what casual "beer" drinkers expect from a 330ml bottle,
- some reporting has referred to it as a flavored malt beverage in certain state formulations rather than a wine cooler indicating the exact classification may vary by state and by SKU,
- The sweetness masks the alcohol strength, a concern one addiction-medicine commentator raised about overconsumption risk among young, inexperienced drinkers.

This ambiguity is, in effect, part of the business model: the brand occupies a space where the "is it beer or wine" question itself is the marketing hook and press story, in addition to being a tax and licensing lever.

3. Building the Distribution Pipeline

BroCode's go-to-market did not rely on a single national rollout. It built out state-by-state, in classic Indian alcobev fashion, given that each state has its own excise licensing, wholesale, and retail structure.

Manufacturing footprint: Production is anchored in Goa (chosen partly for its comparatively low excise environment and established bottling ecosystem for FMCG-scale alcobev), with IndoBevs' broader manufacturing network now also spanning Maharashtra and Karnataka, and a new malt distillery under construction in Uttar Pradesh for its whisky portfolio.

Route to market:

- Distribution runs through the traditional Indian alcobev channel state-appointed distributors/corporations, licensed wine shops, and retail counters rather than through modern trade or e-commerce as a primary channel, since alcohol e-commerce is heavily restricted in India.
- The brand deliberately launched first in lower-duty, high-tourist states (Goa, Punjabi and northern markets, parts of Karnataka) where price points could stay attractive, before pushing into higher-tax markets like Maharashtra, Delhi-NCR, and Kerala, where the same bottle carries a materially higher MRP.
- On-premise push (bars, lounges, HoReCa) was paired with off-premise (liquor shop) availability to build both occasion-based and take-home demand.
- The company has continued to professionalize this pipeline: in July 2026, IndoBevs appointed a dedicated **Chief Commercial Officer** (a 20-year alcobev veteran) explicitly to lead route-to-market strategy, deepen distributor relationships, and scale trade partnerships as the company pushes into new states and international markets.

Portfolio strategy as a distribution multiplier: Rather than remaining a single-SKU brand, IndoBevs has used BroCode's cash flow and shelf relationships to cross-launch a wider portfolio including the liqueur Bonga Bonga and whiskies such as WingMan and Glen Eden now sold across a reported 15+ brand portfolio, so incremental distributor and retail relationships built for BroCode also carry adjacent products.

4. Why It Became Popular With Young India

Several reinforcing factors, beyond price and ABV, explain BroCode's traction with 20s-something consumers:

1. **Visual-first branding for a social-media generation:** A sleek black-and-gold bottle design was built to photograph well consumers have organically shared it on Instagram and Snapchat, giving the brand earned media far beyond paid advertising.
2. **Cultural/music marketing over conventional beer advertising:** Because alcohol advertising is restricted in India, BroCode has leaned on associative marketing including sponsorship tie-ins with youth culture moments such as a hip-hop act's anniversary tour rather than traditional broadcast ads.

3. **Influencer and digital-first engagement:** The brand's growth strategy has explicitly emphasized influencer partnerships and social amplification aimed at a young, urban and increasingly tier-2 audience, rather than legacy print/TV.
 4. **"Rebel" brand identity:** Industry commentary consistently frames BroCode as bold, rebellious, and independent-feeling positioning that resonates with a demographic actively looking for alternatives to "legacy" beer brands their parents drank.
 5. **Occasion fit:** Its affordability and portability made it a natural fit for the informal, group-based drinking occasions (cricket nights, rooftop hangouts, house parties) that dominate youth social life in urban and tier-2 India, rather than positioning itself as a formal dining/wine-pairing product.
 6. **Word of mouth around the "strongest beer in India" narrative:** Multiple retail and review sites have amplified the brand's reputation as India's strongest beer-style drink, a claim that itself drives curiosity-led trials.
-

5. Financials and Valuation

Important honest note: BroCode/IndoBevs is a privately held company. There is **no publicly disclosed equity valuation** (e.g., from a funding round) available credit-and-company-data aggregators list the company as unfunded/self-financed, so any specific "valuation" figure circulating online should be treated with skepticism. What is available is revenue and volume data, some of it inconsistent across sources:

Metric	Figure	Source basis
Indospirit Beverages Pvt Ltd revenue, FY ending Mar 2025	~₹371 crore	Company-data aggregator (Tracxn)
Indospirit Beverages revenue, FY ending Mar 2024	₹300–400 crore band	Company-data aggregator (Tofler)
IndoBevs group turnover (as of July 2026 announcement)	~₹600 crore, ~2 million cases/year	Trade press (Aabkari Times)
IndoBevs revenue target	Aim to roughly double to ~₹700 crore by FY26/FY27, on ~2.5 million cases	Business press (Livemint, via Flipit)
Employee count (Indospirit Beverages entity)	~89–162 employees (varies by filing date/aggregator)	Company-data aggregators

Metric	Figure	Source basis
Funding status	Reported as unfunded / bootstrapped growth	Tracxn

Reading these numbers together: the direction is consistent a company scaling from roughly ₹300–400 crore to ₹600–700 crore in revenue within a couple of years, driven by BroCode plus newer launches (Bonga Bonga liqueur, whisky brands). The exact single-year figure differs by source and by whether it refers to the narrower legal entity (Indospirit Beverages) or the broader IndoBevs group (which also includes spirits, IMFL and import/bottling operations). No credible, disclosed profit (net income) figure or third-party valuation was found; profitability commentary is limited to aggregator notes of double-digit EBITDA growth for the legal entity, not the group.

6. Competitor Landscape

BroCode competes less on liquid quality and more on positioning, occupying a lane between two established categories:

Strong/mainstream beer:

- **Kingfisher Strong** (United Breweries) — market leader, ~36%+ beer market share, legacy trust, far larger retail footprint.
- **Bira 91** — youth-oriented craft/modern beer brand, strong social media presence, international distribution (~24 countries, ~31,000 outlets), but positioned as a "cooler," more premium craft brand rather than a high-ABV, low-price disruptor.
- **Simba** — another modern Indian craft-style beer brand targeting similar urban millennial/Gen Z audiences.

High-ABV / "strong beer" category specifically:

- Various regional strong lagers competing on ABV and price, though few match BroCode's combination of wine-category tax treatment and beer-style marketing.

Wine/RTD-adjacent:

- Traditional Indian wine brands (Sula, Fratelli, Grover Zampa) but these compete on a completely different occasion (dining, premium/gifting) and price point, and have largely not contested BroCode's segment directly.
- Ready-to-drink (RTD) cocktail and cooler brands, a category India's regulators have been formally expanding (RTD products up to 15% ABV now have clearer regulatory recognition under updated 2026 food-safety/alcohol regulations) meaning more entrants may follow BroCode into this exact white space.

BroCode's structural edge vs. all of the above: it was first to systematically exploit the wine-category duty and licensing structure while marketing purely to beer occasions a positioning gap that is now narrowing as regulators formalize the RTD category and competitors take note, meaning the "regulatory arbitrage" advantage is likely to compress over time even as brand equity remains.

7. Future Expansion Plans

Based on the most recent (2026) company statements and trade press:

1. **Portfolio diversification beyond BroCode:** IndoBevs has explicitly acknowledged that creating hit brands beyond BroCode is one of its biggest challenges, and is pushing a wider portfolio (Bonga Bonga liqueur, WingMan and Glen Eden whiskies) to reduce single-SKU dependence.
2. **Move into indigenous/traditional Indian alcohol categories:** Founder Sameer Mahandru has publicly signaled interest in categories like rice beer and other indigenous beverages (Apong, Zutho, Mahua, Toddy) — a category recently granted more regulatory clarity under updated 2026 food-safety alcohol regulations. No product has been formally announced, but the company has said it has "ongoing work" here.
3. **Manufacturing capacity expansion:** A ~US\$24 million malt distillery is under construction in Uttar Pradesh, intended to scale premium whisky production and diversify the manufacturing base beyond Goa/Maharashtra/Karnataka.
4. **Commercial leadership build-out:** The July 2026 appointment of a dedicated Chief Commercial Officer is explicitly framed around expanding route-to-market, deepening distributor relationships, and pushing into **new domestic markets and international markets**.
5. **Revenue scale target:** Public statements point to a target of roughly doubling group revenue (toward ~₹700 crore) alongside volume growth toward ~2.5 million cases annually.

6. **In-house marketing build-out:** The company has also signaled a shift toward more in-house brand-building capability (referenced under an internal marketing initiative called "BroTection") rather than relying solely on external agencies, as it tries to replicate BroCode's cultural traction across its newer brands.
-

8. Key Takeaways for Business Strategy Students

1. **Regulatory structure can be a genuine source of competitive advantage** — not by breaking rules, but by understanding category definitions well enough to build a product that legitimately qualifies for a more favorable regulatory lane, while marketing to a completely different, larger occasion.
 2. **Positioning can matter more than product category.** BroCode did not out-brew beer companies; it repositioned the entire question of what "counts" as beer for a new generation of drinkers.
 3. **Regulatory arbitrage is usually temporary.** As India's alcohol regulators formalize the RTD/high-ABV space, the first-mover tax/licensing advantage BroCode enjoyed is likely to erode meaning long-term defensibility will depend on brand equity, distribution depth, and portfolio diversification, not on the original loophole.
 4. **State-by-state go-to-market is a distinct distribution discipline in regulated industries.** Unlike an FMCG snack or a tech product, BroCode's national footprint had to be built market-by-market against different excise regimes, not launched as a single national rollout.
 5. **Numbers reported by aggregators for private companies should be treated as directional, not precise.** Reported revenue for BroCode/IndoBevs ranges materially depending on the source and legal entity referenced, and no verifiable third-party valuation exists in the public domain.
-

Sources consulted

Trade and business press (Livemint via Flipit, Aabkari Times, BestMediaInfo, afaqs!, Indian Retailer, Newspatrolling, CB Insights, Global HR News), and private-company data aggregators (Tracxn, Tofler, TheCompanyCheck, ZaubaCorp, Crunchbase). Where sources conflicted, the discrepancy is noted directly in this document rather than resolved by assumption.